Tabernacle
Baptist Church

CHURCH STAFF

TOM BRIDGES
Pastor

CELIA MILLER
Music Director

SCHOOL STAFF

TOM BRIDGES
Principal

MARGARET BRIDGES
Administrator

CELIA MILLER
Vice Principal

July 22, 1998

This document is written to expressly state the intent and spirit of the relationship between Tabernacle Baptist Church and Tabernacle Christian Schools, Inc. It is to be applied to the interpretation of documents and in dealings among persons representing the church and the school..

The spirit that is to govern and direct the interactions among church and school personnel is one of co-operation and mutual respect. Decisions are to be made based upon what is best for each party rather than upon what is the "legal" right of either party. The criteria of love, understanding, mutual support, respect, and cooperation are to be used when making decisions or coming to understandings.

This is not written in response to any existing problems. It is written for posterity, so that as new personnel participate in the process they may know and be clear as to how church and school should interact.

Respectfully submitted,

Tom Bridges
Pastor

Deacon Board

TABERNACLE BAPTIST CHURCH, INC.
TABERNACLE CHRISTIAN SCHOOLS, INC.
4380 CONCORD BOULEVARD
CONCORD, CA 94521

LEASE AGREEMENT

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LANDLORD : TABERNACLE BAPTIST CHURCH, INC.

TENANT : TABERNACLE CHRISTIAN SCHOOLS, INC.

EFFECTIVE DATE : JANUARY 1, 1997

LEASE AGREEMENT

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LEASE AGREEMENT

THIS LEASE AGREEMENT is made and entered into as of the 1st day of JANUARY, 1997, by and between **TABERNACLE BAPTIST CHURCH,** a California non-profit corporation, and the owner of the facilities located at **4380 CONCORD BOULEVARD, CONCORD, CA 94521** (herein **"LANDLORD"**), and **TABERNACLE CHRISTIAN SCHOOLS, INC.,** a California non-profit corporation, (herein **"TENANT").**

In consideration of the rents, covenants, and agreements herein set forth, **LANDLORD** demises and leases to the **TENANT**, and the **TENANT** leases from **LANDLORD**, the herein described premises upon the following terms and conditions:

ARTICLE I
FUNDAMENTAL LEASE PROVISIONS

EFFECTIVE DATE	:	**JANUARY 1, 1997**
LANDLORD	:	**TABERNACLE BAPTIST CHURCH**
TENANT	:	**TABERNACLE CHRISTIAN SCHOOLS, INC.**
ADDRESS	:	4380 CONCORD BOULEVARD, CONCORD, CA 94521
LEASE TERM	:	INITIAL TWENTY FIVE (25) YEAR TERM
OPTIONS	:	FIVE TEN (10) YEAR OPTION PERIODS
LEASE PAYMENTS	:	THIRTY SIX THOUSAND DOLLARS ($36,000.00) PER YEAR MINIMUM, PAYABLE BY TENANT TO LANDLORD AT THE RATE OF THREE THOUSAND DOLLARS ($3,000.00) PER MONTH, OR, ALTERNATIVELY, BY TENANT'S DIRECT PAYMENT FOR, OR THE PROVISION OF, BY WAY OF ILLUSTRATION AND NOT LIMITATION, ALL COSTS AND EXPENSES FOR ALL NECESSARY BUILDING AND PROPERTY MAINTENANCE; ALL PROPERTY AND LIABILITY INSURANCE; ALL FIRE AND OTHER CASUALTY INSURANCE; ALL PROPERTY TAXES AND ASSESSMENTS OF ANY TYPE OR NATURE; ALL COSTS AND EXPENSES TO BRING THE REAL PROPERTY AND IMPROVEMENTS THEREON INTO COMPLIANCE WITH ANY EXISTING OR FUTURE BUILDING OR OPERATIONAL CODES OR REGULATIONS; AND ALL OTHER COSTS AND EXPENSES INVOLVED IN THE OWNERSHIP OF THE ENTIRE REAL PROPERTY, INCLUDING THE CHURCH THEREON, TOGETHER WITH ALL OTHER PHYSICAL AND LANDSCAPING IMPROVEMENTS THEREON OR LOCATED THEREAT.
MAILING ADDRESS FOR **LANDLORD**	:	4380 CONCORD BOULEVARD, CONCORD, CA 94521

SECURITY
DEPOSIT : FOUR THOUSAND DOLLARS ($4,000.00)

References in this Article I to other articles and sections thereof are for convenience and designate some of the other articles and sections thereof where references to the particular Fundamental **LEASE** Provisions appear. Each reference in this **LEASE** to any of the Fundamental **LEASE** Provisions contained in this Article I shall be construed to incorporate all of the terms provided under each such Fundamental **LEASE** Provision. In the event of any conflict between any Fundamental **LEASE** Provision and the balance of the **LEASE**, the latter shall control.

ARTICLE II
EXHIBIT AND DEFINITIONS

Section 2.01. Exhibits. The following exhibits are made a part of this **LEASE**:

Exhibit "A" - Description of the leased premises and authorized use of the premises.

Exhibit "B" - Tenant's Certificate

Section 2.02. Definitions. The following terms for purposes of this **LEASE** shall have the meanings hereinafter specified:

The term "THE SCHOOL PROPERTY", or "THE LEASED PREMISES" shall include the school buildings, and all areas utilized for the current (as of the effective date hereof) school facilities, and either utilized in their entirety, or partially utilized, for educational purposes, and all of the administration offices and facilities utilized for the school operations, and any playgrounds, or other exterior improvements or areas utilized for the school facilities.

The term "THE CHURCH PROPERTY" shall include all of the real property and improvements located on or at the real property owned by the **TABERNACLE BAPTIST CHURCH** at the subject address, exclusive of the SCHOOL PROPERTY.

The term **"COMMON AREAS"** shall include the parking areas, driveways, sidewalks, and other common and service areas within and on the **PROPERTY** and not specifically defined hereinabove.

ARTICLE III
GRANT AND TERM

Section 3.01. Leased Premises. The landlord hereby leases and demises unto the **TENANT** and the **TENANT** hereby leases and takes from the **LANDLORD**, for the term, at the rental, and upon the covenants and conditions herein set forth, the commercial space referred to herein as the "SCHOOL PROPERTY" or the "leased premises", all as is more particularly described on Exhibit "A", which such Exhibit is attached hereto and made a part hereof.

Section 3.02. Termination of Leasehold - Requirement for One hundred and Eighty (180) Day Prior Written Notification Before The End Of Any Lease Term Hereof. The **LANDLORD** and **TENANT** hereby agree that the procedure for the termination of the tenancy created hereunder shall require ONE HUNDRED AND EIGHTY (180) DAY PRIOR WRITTEN NOTIFICATION TO THE OTHER from either party, which such notification shall be delivered at least that many days prior to the end of any given lease term. This termination provision shall not alter or amend the rights of the Tenant to exercise its option periods set forth hereinbelow, presuming Tenant is in compliance with all of the conditions precedent therefore. Such notification may be delivered as is required for the delivery of any written notifications set forth hereinbelow. The terms of termination of the leasehold, and notification requirements in the event of default, are governed by provisions set forth elsewhere herein, and those provisions are not altered, amended, waived, modified, or superseded by the provisions of this paragraph.

Section 3.03. Use of Additional Areas. The use and occupation by the **TENANT** of the leased premises shall include the use in common with others entitled thereto of the common areas, sidewalks and car parking areas and other facilities as may be designated from time to time by the **LANDLORD**, subject however, to the terms and conditions of this agreement and to reasonable rules and regulations for the use thereof as may be established from time to time by the **LANDLORD**.

Section 3.04. Commencement and Ending Date of Term. The term of this **LEASE** and the **TENANT**'s obligation to pay rent hereunder shall begin as of January 1, 1997, as shall continue monthly for term hereof, or any extensions, or options hereof. The term of this **LEASE** shall end on the last day of the final lease year as specified in Article I hereof, unless extended, or sooner terminated as hereinafter provided in this **LEASE**.

Section 3.05. Tenant's Certificate. Within ten (10) days after the beginning of the term of this **LEASE**, **TENANT** will execute and deliver to **LANDLORD** a certificate substantially in the form attached hereto, marked as Exhibit "B" and made a part hereof, indicating thereon any exceptions thereto which may exist at that time. Failure of the **TENANT** to execute and deliver such certificate shall constitute an acceptance of the premises and an acknowledgment by **TENANT** that the statements included in Exhibit "B" are true and correct, without exception. In addition thereto, if **TENANT** fails to execute and deliver such statement to **LANDLORD** within said ten (10) day period, **LANDLORD** may, as attorney-in-fact of **TENANT**, coupled with an interest, execute such statement for, and on behalf and in the name of **TENANT**. If requested by **LANDLORD** in writing, **TENANT** shall give similar certificates from time to time during the term of this **LEASE** in the manner hereinabove provided.

ARTICLE IV
MONTHLY RENTAL PAYMENTS

Section 4.01. Minimum Monthly Rental Amount. **TENANT** agrees to pay to **LANDLORD** at the office of **LANDLORD**, or at such other place designated by **LANDLORD**, without any prior demand therefor, subject to the deductions and set-offs set forth in sub-paragraph Section 4.02., hereof, the rental payments specified in Article I hereof, in equal

installments in advance upon the first (1st) day of each calendar month of each lease month.

Section 4.02. Alternative to the Direct Payment of the Monthly Rental Amount. The parties hereto have agreed that as an alternative to the payment of the monthly rental amount set forth above, TENANT shall have the right to assume and pay for, or to make arrangements for the provision, without cost to the Landlord or, all costs and expenses for all necessary building maintenance, including, by way of illustration and not limitation, all landscaping including all existing trees, bushes, or other plantings, all parking facilities, all sidewalks and walkways, all structural elements, all plumbing, including the fixtures and piping therefore, all electrical wiring and fixtures, all current heating and cooling systems and the ducting therefore, all waste disposal systems, all fire protection and sprinkler systems, either currently installed or if required to be installed in the future, and all other equipment, systems, or fixtures, including kitchen fixtures and equipment, located on the PROPERTY, and currently utilized either by the CHURCH or the SCHOOL, or as COMMON AREAS to both.

Section 4.03. Additional Tenant Obligations. In addition, it is agreed that TENANT shall, without cost or expense to LANDLORD, also provide all property and liability insurance; all fire and other casualty insurance; make appropriate and timely payments for all property taxes and assessments of any type or nature; be responsible for the costs and expenses of all actions necessary to bring the real property and improvements thereon into compliance with any existing or future governmental building or operational codes or regulations, if required to do so by any legitimate governmental authority; and TENANT shall be responsible for the payment of any and all other costs and expenses involved in the ownership of the entire real property, including the CHURCH PROPERTY, the SCHOOL PROPERTY, and any and all COMMON AREAS, together with all physical and landscaping improvements thereon or located thereat.

Section 4.04. Payment of, or Performance of, Alternative and Additional Obligations. Provided TENANT shall timely perform all of TENANT's obligations as specifically set forth in Sections 4.02. and 4.03., hereinabove, and elsewhere in the Lease Agreement, then LANDLORD agrees that the timely performance of such conditions, duties, and obligations, shall have a minimum value to LANDLORD of an amount equal to the minimum monthly rental payments set forth in Section 4.01, hereof. Therefore, as long as TENANT is in compliance with the terms of said Sections 4.02., and 4.03., hereof, and the remaining terms and conditions of TENANT's occupancy of the Leased property, TENANT shall not be obligated to make any monthly payments to LANDLORD for the term hereof, or for any option period hereunder.

Section 4.05. Past Due Rent and Additional Charges. If any amounts due hereunder remain unpaid for a period in excess of **TEN (10) DAYS** from the due date thereof, a late charge equal to **TEN PERCENT (10%)** of the amount past due shall also be due and payable for the subject rental period. Thereafter, and in addition to the above, if **TENANT** shall continue to fail to pay any rent or any other amounts due hereunder, such unpaid amounts shall bear interest from the due date thereof to the date of payment at the lesser of the maximum rate then allowable by law, or **EIGHTEEN (18%) PERCENT PER ANNUM**.

Section 4.06. Option Periods. First Option Period. If **TENANT** has faithfully

performed all of its obligations to be performed hereunder, and has not at any time been in default in the performance of **TENANT'S** obligations hereunder during the initial term hereof, then **TENANT** shall have the right, upon one hundred and eighty (180) days written notice to **LANDLORD** prior to the expiration of the initial term hereof, to extend the term of this **LEASE** for an additional **TEN (10) YEAR** period. All other terms and conditions of this **LEASE** shall thereafter remain in full force and effect.

Section 4.07. Second and Successive Option Periods. If **TENANT** has faithfully performed all of its obligations to be performed hereunder, and has not at any time been in default in the performance of **TENANT'S** obligations hereunder during the First Option Period, or any successive option period, then **TENANT** shall have the right, upon one hundred and eighty (180) days written notice to **LANDLORD** prior to the expiration of the First and each successive Option Period(s), to extend the term of this **LEASE** for additional **TEN (10) YEAR** period(S), up to the total number of Option Periods, including the First and all Successive Options periods of FIFTY YEARS. All other terms and conditions of this **LEASE** shall thereafter remain in full force and effect for the Second and all successive Option Periods.

Section 4.08. Contribution to Taxes, Insurance, Maintenance, and Assessments. **TENANT** shall be responsible for the payment to **LANDLORD** or on behalf of LANDLORD of any amount for real property taxes or other assessments levied on the real property. **TENANT** shall be responsible for the payment of any and all personal property taxes levied on the inventory, improvements, or equipment owned by **TENANT** or LANDLORD and located on the subject real property. **TENANT** shall be required to maintain public liability insurance on the leased premises at all times in an amount equal to FIVE MILLION DOLLARS ($5,000,000.00) PER EVENT, and shall further name **LANDLORD** as an additional loss-payee on such insurance policy. Evidence of such insurance shall be provided to **LANDLORD** by **TENANT** at or prior to the date **of execution hereof. TENANT** shall maintain fire insurance on the subject real property improvements, and such coverage shall insure against the loss of the building, the improvements, and all of the contents located anywhere on the subject real property only, and shall specifically also cover the contents of the buildings utilized by **LANDLORD**. **TENANT** shall also maintain commercial renters insurance to cover the loss of the contents of the any of the buildings by fire or other calamity occupied by TENANT. Additionally, **TENANT** shall be responsible for all normal interior and exterior repair of all improvements on the real property, wherever situate and however utilized.

ARTICLE V
CONDUCT OF BUSINESS BY TENANT

Section 5.01. Use of Premises. **TENANT** shall use the leased premises solely for the purpose of conducting **TENANT**'s business as described on Exhibit "A" attached hereto and made a part hereof.

ARTICLE VI
OPERATION OF CONCESSIONS

Section 6.01. Consent of **LANDLORD.** **TENANT** shall not permit any other business than its own to be operated in or from the leased premises by any concessionaire, licensee, or sub-tenant without the prior written consent of **LANDLORD**, which consent shall not be unreasonably withheld.

ARTICLE VII
SECURITY DEPOSIT

Section 7.01. Amount of Deposit. **TENANT**, contemporaneously with the execution of this **LEASE**, has deposited with **LANDLORD** a security deposit in the sum set forth in Article I, receipt of which is hereby acknowledged by **LANDLORD**. Said deposit shall be held by **LANDLORD** without liability for interest, as security for the faithful performance by **TENANT** of all of the terms, covenants, and conditions of this **LEASE** by said **TENANT** to be kept and performed during the term hereof. If at any time during the term of this **LEASE** any of the rent herein reserved shall be overdue and unpaid, or any other sum payable by **TENANT** to **LANDLORD** hereunder shall be overdue and unpaid then **LANDLORD** may, at the option of **LANDLORD** (but **LANDLORD** shall not be required to) appropriate and apply any portion of said deposit to the payment of any such overdue rent or other sum.

Section 7.02. Use and Return of Deposit. In the event of the failure of **TENANT** to keep and perform any of the terms, covenants, and conditions of this **LEASE** to be kept and performed by **TENANT**, then the **LANDLORD** at its option may appropriate and apply said entire deposit, or so much thereof as may be necessary, to compensate the **LANDLORD** for loss or damage sustained or suffered by **LANDLORD** due to such breach on the part of **TENANT**. Should the entire deposit, or any portion thereof, be appropriated and applied by **LANDLORD** for the payment of overdue rent or other sums due and payable to **LANDLORD** by **TENANT** hereunder, then **TENANT** shall, upon the written demand of **LANDLORD**, forthwith remit to **LANDLORD** a sufficient amount in cash to restore said security to the original sum deposited, and **TENANT**'s failure to do so within five (5) days after receipt of such demand shall constitute a breach of this **LEASE**. Should **TENANT** comply with all of said terms, covenants, and conditions and promptly pay all of the rental herein provided for as it falls due, and all other sums payable by **TENANT** to **LANDLORD** hereunder, the said deposit shall be returned in full to **TENANT** at the end of the term of this **LEASE**, or upon the earlier termination of this **LEASE**.

ARTICLE VIII
PARKING AND COMMON USE AREAS AND FACILITIES

Section 8.01. Control of Common Areas by **LANDLORD.** All automobile parking areas provided by **LANDLORD** for the general use of **TENANT** shall at all times be subject to the exclusive control and management of **TENANT**.

ARTICLE IX
COST OF MAINTENANCE OF COMMON AREAS

Section 9.01. **TENANT** To Pay. All ordinary expenses for the repair, maintenance and cleaning of all of the common areas on the subject real property shall be at the sole expense of **TENANT**.

ARTICLE X
SIGNS, FIXTURES, ALTERATIONS

Section 10.01. Installation by **TENANT**. All fixtures installed by **TENANT** shall be new or completely reconditioned. **TENANT** shall not make or cause to be made any alterations, additions, or improvements or install or cause to be installed any trade fixtures, exterior signs, floor coverings, interior or exterior lighting, plumbing fixtures, shades, or awnings, or make any changes to the premises without first obtaining **LANDLORD**'s written approval and consent, which consent shall not be unreasonably withheld. **TENANT** shall present to the **LANDLORD** plans and specifications for such work at the time approval is sought.

Section 10.02. Alterations and Their Removal and Restoration by **TENANT**. It is understood that **TENANT** will not, without first obtaining the written consent of **LANDLORD**, make any physical alterations to the leased premises or any of the fixtures located thereon. Any such physical changes and all rearrangements which are made by **TENANT** with the approval of **LANDLORD** shall be made at **TENANT**'s expense. At the expiration of this agreement, **TENANT** shall have the right to remove all such alterations, decorations, additions, and improvements, and shall at **TENANT'S** sole expense, restore the leased premises to their original condition. If the **TENANT** fails to remove such alterations, decorations, additions, and improvements and restore the leased premises, then upon the expiration of this **LEASE**, or any renewal thereof, and upon the **TENANT**'s removal from the premises, all such alterations, decorations, additions, and improvements shall become the property of the **LANDLORD**. The foregoing provision shall in no way alter or alleviate **TENANT**'s obligation under Section 10.03 hereof.

Section 10.03. **TENANT** Shall Discharge All Liens. **TENANT** shall promptly pay all contractors and materialmen, so as to minimize the possibility of a lien attaching to the leased premises, and should any such lien be made or filed by reason of any fault of **TENANT**, **TENANT** shall immediately pay same.

Section 10.04. Signs. **TENANT** will not place or suffer to be placed or maintained on any exterior door, wall, or window of the leased premises any sign or advertising matter or other thing of any kind, and will not place or maintain any decoration, lettering, or advertising matter on the glass of any window or door of the leased premises without first obtaining **LANDLORD**'s consent. **TENANT** further agrees to maintain such sign and/or lettering, as may be approved, in good condition and repair at all times.

ARTICLE XI
MAINTENANCE OF LEASED PREMISES

Section 11.01. Maintenance by **TENANT**. **TENANT** shall at all times keep the interior

of the leased premises (including maintenance of exterior entrances, all glass and window moldings) and all partitions, doors, fixtures, equipment, and appurtenances thereof in good order, condition, and repair (including reasonably periodic painting as determined by **LANDLORD**), damage by unavoidable casualty excepted, including, without exception or limitation, the initially constructed mechanical, electrical, plumbing and structural portions of the premises.

Section 11.02. Surrender of Premises. At the expiration of the tenancy hereby created, **TENANT** shall surrender the leased premises in the same condition as the leased premises were in upon delivery of possession thereof under this **LEASE**, reasonable wear and tear excepted.

ARTICLE XII
INDEMNITY, INSURANCE, WAIVER OF SUBROGATION

Section 12.01. Indemnity Agreement. The **TENANT** covenants with the **LANDLORD** that **LANDLORD** shall not be liable for any damage or liability or any kind or from any injury to or death of persons or damage to property of **TENANT** or any other person during the term of this **LEASE**, from any cause whatsoever, by reason of the use, occupancy and enjoyment of the premises by the **TENANT** or any person thereon or holding under said **TENANT**, and that **TENANT** will indemnify and save harmless the **LANDLORD** from all liability whatsoever, on account of any such real, alleged, or claimed damage or injury and from all liens, claims and demands arising out of the use of the premises and its facilities, or any repairs or alterations made upon said premises, including liability for damage or injury occasioned by the negligence of **LANDLORD**'s designated agents, servants or employees when covered by insurance **TENANT** is hereunder required to provide. This obligation to indemnify shall include reasonable legal and investigation costs and all other reasonable costs, expenses, and liabilities from the first notice that any claim or demand is to be made or may be made.

Section 12.02. Waiver of Subrogation. The **LANDLORD** and **TENANT** hereby waive any rights each may have against the other on account of any loss or damage occasioned to the **LANDLORD** or the **TENANT**, as the case may be, their respective property, the premises, or its contents or to other portions of the building, arising from any risk generally covered by fire and extended coverage insurance and the parties each, on behalf of their respective insurance companies insuring the property of either the **LANDLORD** or the **TENANT** against any such loss, waive any right of subrogation that it may have against the **LANDLORD** or the **TENANT**, as the case may be.

Section 12.03. Insurance. **TENANT** further covenants and agrees that from and after the date of delivery of the premises from **LANDLORD** to **TENANT**, **TENANT** will carry and maintain, at its sole cost and expense, the following types of insurance, in the amounts specified and in the form hereinafter provided for:

(a) Public Liability and Property Damage. Bodily injury liability insurance with limits of not less than **FIVE MILLION ($5,000,000.00) DOLLARS** per person and **FIVE MILLION ($5,000,000.00) DOLLARS** per occurrence insuring against any and all liability of

the insured with respect to said premises or arising out of the maintenance, use or occupancy thereof, and property damage liability insurance with a limit of not less than **FIVE MILLION ($5,000,000.00) DOLLARS** per accident or occurrence. All such bodily injury liability insurance and property damage liability insurance shall specifically insure the performance by **TENANT** of the indemnity agreement as to liability for injury to or death of persons and injury or damage to property in this Article XII contained.

(b) Window Glass. The **TENANT** shall be responsible for the maintenance of the window glass on the premises but shall have the option either to insure the risk or to self-insure.

(d) Policy Form. All policies of insurance provided for herein shall be issued in the names of **LANDLORD** and **TENANT**, which policies shall be for the mutual and joint benefit and protection of **LANDLORD** and **TENANT**. Executed copies of such policies of insurance or certificates thereof shall be delivered to the **LANDLORD** within ten (10) days after delivery of possession of the premises to **TENANT** and thereafter within thirty (30) days prior to the expiration of the term of each such policy. All public liability, property damage, and other casualty policies shall be written as primary policies, not contributing with and not in excess of coverage which the **LANDLORD** may carry.

Section 12.04 Increase in Fire Insurance Premiums. **TENANT** agrees that it will not at any time during the term of this **LEASE**, carry any stock of goods or do anything in or about the premises which will in any way tend to increase the insurance rates upon the building of which the premises are a part. **TENANT** shall be responsible to pay for any such insurance premium increase incurred by **LANDLORD** for **TENANT'S** acts.

ARTICLE XIII
UTILITIES

Section 13.01. Utilities Made Available by **LANDLORD.** The **LANDLORD** agrees that initially it will cause to be made available to the **TENANT**, facilities for the delivery to and distribution within the premises of water, natural or propane gas service for heating, the removal of sewage and garbage, electricity, telephones, and for like utilities.

Section 13.02. Liability for Utilities. **TENANT** agrees, at its own expense, to pay for all utilities, including by way of illustration and not limitation, all telephone service, electrical charges, garbage removal, water service, and natural or propane gas service from and after the delivery of possession thereof by **LANDLORD**.

Section 13.03. Failure of Utility Service. **LANDLORD** shall not be liable in damages or otherwise for any failure or interruption of any utility service being furnished the premises, and no such failure or interruption shall entitle **TENANT** to terminate this **LEASE**.

ARTICLE XIV
SUBORDINATION

Section 14.01. Subordination. Upon request of the **LANDLORD**, **TENANT** will subordinate its rights hereunder to the lien of any mortgage or mortgages, or the lien resulting from any other method of financing or refinancing, now or hereafter in force.

ARTICLE XV
ASSIGNMENT AND SUBLETTING

Section 15.01. Consent Required. **TENANT** will not assign this **LEASE** in whole or in part, nor sublet all or any part of the leased premises without the prior written consent of **LANDLORD** in each instance, which such consent shall not be unreasonably withheld.

ARTICLE XVI
WASTE, TOXIC CONTAMINATION, GOVERNMENTAL REGULATIONS

Section 16.01. Waste or Nuisance, Toxic Contamination. **TENANT** shall not commit or suffer to be committed any waste upon the leased premises or any nuisance or other act or thing which may disturb the quiet enjoyment of any other **TENANT** in the building in which the leased premises may be located. In addition, **TENANT** shall take no action, or omit to take any action which caused or which may cause the toxic contamination of the leased premises, or any improvements thereon. **TENANT** shall dispose of all such contaminates according to the laws governing such disposal, and shall maintain records of such disposal. **TENANT** shall hold **LANDLORD** harmless from any costs or expenses arising out of any contamination which shall be occasioned by the tenancy of **TENANT** on the subject property, including the costs of any clean up thereof.

Section 16.02. Government Regulations. **TENANT** shall, at **TENANT**'s sole cost and expense, comply with all of the requirements of all county, municipal, state, federal, and other applicable governmental authorities, now in force, or which may hereafter be in force pertaining to the leased premises, and shall faithfully observe in the use of the premises and all municipal and county ordinances and state and federal statutes now in force or which may hereafter be in force.

ARTICLE XVII
ADVERTISING

Section 17.01. Solicitation of Business. **TENANT** shall not use any advertising or promotional media which can be heard, seen, or experienced outside the premises including, but not limited to, search lights, loud speakers, or phonographs without the written consent of **LANDLORD**.

ARTICLE XVIII
DESTRUCTION OF LEASED PREMISES

Section 18.01. If Covered by Insurance. In the event the premises are damaged by fire

or other perils covered by **LANDLORD**'s and **TENANT**'s fire and extended coverage insurance, **LANDLORD** shall, within a period of ninety (90) days thereafter, commence repair, reconstruction and restoration of said premises and prosecute the same diligently to completion, in which event this **LEASE** shall continue in full force and effect.

Section 18.02. If Not Covered by Insurance. In the event the premises shall be damaged as a result of any flood, earthquake, act of war, nuclear reaction, nuclear radiation or radioactive contamination, or from any other casualty not covered by **LANDLORD**'s and **TENANT**'s fire and extended coverage insurance, to any extent whatsoever, the **LANDLORD** may within ninety (90) days following the date of such damage, commence repair, reconstruction or restoration of said premises and prosecute the same diligently to completion, in which event this **LEASE** shall continue in full force and effect, or within said ninety (90) day period elect not to so repair, reconstruct or restore said premises, in which event this **LEASE** shall cease and terminate. In either such event **LANDLORD** shall give the **TENANT** written notice of its intention within said ninety (90) day period.

ARTICLE XIX
EMINENT DOMAIN

Section 19.01. Condemnation of leased Premises. In the event the entire premises shall be appropriated or taken under the power of eminent domain by any public or quasi-public authority, this **LEASE** shall terminate and expire as of the date of such taking, and the **TENANT** shall thereupon be released from any liability thereafter accruing hereunder.

Section 19.02. **LANDLORD** Entitled to Award. If this **LEASE** is terminated in the manner hereinabove provided, the **LANDLORD** shall be entitled to the entire award or compensation in such proceedings less any award with respect to the expenses and costs of **TENANT** in relocating its business, but the rent and other charges for the last month of **TENANT**'s occupancy shall be prorated and the **LANDLORD** agrees to refund to the **TENANT** any rent or other charges paid in advance.

ARTICLE XX
DEFAULT OF THE TENANT

Section 20.01. Right to Re-enter. In the event of any failure of **TENANT** to pay any rental due hereunder within ten (10) days after the same shall be due, or any failure to perform any other of the terms, conditions or covenants of this **LEASE** to be observed or performed by **TENANT** for more than thirty (30) days after receipt by **TENANT** of written notice thereof, or if **TENANT** shall become bankrupt or insolvent, or if **TENANT** shall abandon said premises, or suffer this **LEASE** to be taken under any writ of execution, **LANDLORD** shall have the immediate right of re-entry and may remove all persons and property from the leased premises and such property may be removed and stored in a public warehouse or elsewhere at the cost of, and for the account of **TENANT**, all without service of notice or resort to legal process and without being deemed guilty of trespass or becoming liable for any loss or damage which may be occasioned thereby.

Section 20.02. Additional Remedies. The remedies given to the **LANDLORD** in this Article shall be in addition and supplemental to all other rights or remedies which the **LANDLORD** may have under the laws then in force.

ARTICLE XXI
ACCESS BY LANDLORD

Section 21.01. Right of Entry. **LANDLORD** or **LANDLORD**'s agent shall have the right to enter the leased premises at reasonable times to examine the premises and to show them to prospective purchasers or lessees of the building, and to make such repairs, alterations, improvements, or additions as **LANDLORD** may deem necessary or desirable. During the last two (2) months prior to the expiration of the term of this **LEASE** or any renewal term, **LANDLORD** may exhibit the premises to prospective **TENANT**s or purchasers, and place upon the premises the usual notices "To Let" or "For Sale" which notices **TENANT** shall permit to remain thereon.

ARTICLE XXII
TENANT'S PROPERTY

Section 22.01. Loss and Damage. **LANDLORD** shall not be liable for any damage to property of **TENANT** or of others located on the leased premises, nor for the use of or damage to any property of **TENANT** or of others by theft or otherwise. **LANDLORD** shall not be liable for any latent defect in the leased premises or in the building. All property of **TENANT** kept or stored on the leased premises shall be so kept or stored at the risk of **TENANT** only and **TENANT** shall hold **LANDLORD** harmless from any claims arising out of damage to the same, including subrogation claims by **TENANT**'s insurance carrier.

Section 22.02. Notice by **TENANT**. **TENANT** shall give immediate notice to **LANDLORD** in case of fire or accidents in the leased premises or in the building of which the premises are a part or defects therein or in any fixtures or equipment.

ARTICLE XXIII
HOLDING OVER, SUCCESSORS

Section 23.01. Holding Over. Any holding over after the expiration of the term hereof, with the consent of the **LANDLORD**, shall be construed to be a tenancy from month to month at the rents herein specified and shall otherwise be on the terms and conditions herein specified, so far as applicable.

ARTICLE XXIV
QUIET ENJOYMENT

Section 24.01. **LANDLORD**'s Covenant. Upon payment by the **TENANT** of the rents herein provided, and upon the observance and performance of all the covenants, terms and conditions on **TENANT**'s part to be observed and performed, **TENANT** shall peaceably and

quietly hold and enjoy the leased premises for the term hereby demised without hindrance or interruption by **LANDLORD** subject, nevertheless, to the terms and conditions of this **LEASE.**

ARTICLE XXV
MISCELLANEOUS

Section 25.01. Waiver. The waiver by **LANDLORD** of any breach of any term, covenant or condition herein contained shall not be deemed to be a waiver of such term, covenant or condition or any subsequent breach of the same or any other term, covenant or condition herein contained. No covenant, term or condition of this **LEASE** shall be deemed to have been waived by **LANDLORD**, unless such waiver be in writing by **LANDLORD.**

Section 25.02. Entire Agreement. This **LEASE** and the Exhibit attached set forth all the covenants, promises, agreements, conditions and understandings between **LANDLORD** and **TENANT** concerning the leased premises. There are no covenants, promises, agreements, conditions or understandings, either oral or written, other than as are herein set forth. No subsequent alteration, amendment, change or addition to this **LEASE** shall be binding upon **LANDLORD** or **TENANT** unless reduced to writing and signed by them.

Section 25.03. No Partnership. **LANDLORD** does not, in any way or for any purpose, become a partner of **TENANT** in the conduct of its business, or otherwise, or joint adventurer or a member of a joint enterprise with **TENANT.**

Section 25.04. Attorney's Fees. In the event that at any time during the term of this **LEASE** either the **LANDLORD** or the **TENANT** shall institute any action or proceeding against the other relating to the provisions of this **LEASE**, or any default hereunder, then the unsuccessful party in such action or proceeding agrees to reimburse the successful party for the reasonable expenses of such action including attorney's fees and disbursements incurred therein by the successful party.

Section 25.05. Notices. Any notice, demand, request or other instrument which may be or are required to be given under this **LEASE** shall be delivered in person or sent by United States certified mail postage prepaid and shall be addressed (a) if to **LANDLORD** at the address first hereinabove given or at such other address as **LANDLORD** may designate by written notice and (b) if to **TENANT** at the leased premises or at such other address as **TENANT** shall designate by written notice.

Section 25.06. Captions and Section Numbers. The captions, section numbers, article numbers, and index appearing in this **LEASE** are inserted only as a matter of convenience and in no way define, limit, construe, or describe the scope or intent of such sections or articles of this **LEASE** nor in any way affect this **LEASE.**

IN WITNESS WHEREOF, LANDLORD and **TENANT** have signed and sealed this **LEASE** on the following page, as of the day and year first above written.

ACKNOWLEDGEMENT AND SIGNATURE PAGE

LANDLORD

By: _____

By: _____

By: _____

By: _____

By: _____

By: _____

TENANT

By: _____

By: _____

By: _____

EXHIBIT "A"

DESCRIPTION OF PREMISES

1. The term "THE SCHOOL BUILDINGS" or the "LEASED PREMISES" or the "SUBJECT REAL PROPERTY" shall include the

ALLOWABLE USE OF PREMISES

1. The premises which are the subject of this lease shall be used for the sole purpose of the operation of a private educational institution, to include such grades, and services as the TENANT shall, from time to time determine, and such allied uses as are consistent with such primary stated usage.

2. Unless otherwise agreed in writing, no other use shall be permitted on the subject premises.

EXHIBIT "B"

TENANT'S CERTIFICATE

The undersigned, as **TENANT**, under that certain **LEASE** dated _____-_____, made with **LANDLORD**, hereby certifies as follows:

1. That the undersigned has entered into occupancy of the premises described in said **LEASE**;

2. That said **LEASE** is in full force and effect and has not been assigned, modified, supplemented, or amended in any way, except: _____-_____-_____-_____-_____.

3. That the same represents the entire Agreement between the parties as to said leasing;

4. That the commencement date of said **LEASE** is January 1, 1997.

5. That there is an unexpired term hereunder of TWENTY FIVE (25) YEARS.

6. That all conditions of said **LEASE** to be performed by **LANDLORD** and necessary to the enforceability of said **LEASE** have been satisfied;

7. That there are no defaults by either **TENANT** or **LANDLORD** thereunder;

8. That no rents have been prepaid, other than as provided in said **LEASE**; and

9. That on this date there are no existing defenses or offsets which the undersigned has against the enforcement of said **LEASE** by Owner;

In addition, the undersigned hereby:

1. Disclaims all right, title, or interest in said premises except the rights granted by said **LEASE**;

2. Agrees to send a copy of any notice or demand given pursuant to the above referred to **LEASE** and such notice shall not in any manner release or discharge the undersigned and it does hereby consent thereto.

EXECUTED as of this 1st, of January, 1997.

LANDLORD

Robert A. Maddox
By:

Bob S Gonzoley
By:

Maurice V Miller
By:

Walter C. Mitchell
By:

Larry K Boice
By:

Tom Bridges
By:

TENANT

Tom Bridges
By:

Margaret J Bridges
By:

Walter C Mitchell
By:

Minutes of Deacon's Meeting
Tabernacle Baptist Church
February 23, 1997

Present: Bob Gonzalez, Maurice Miller, Walt Middleton, Larry Boice, Bob Maiellaro Tom Bridges, Pastor; Margaret Bridges, Administrator Tabernacle Christian Schools, Inc.

7: 12 PM. Motion to enter into conference made by Bob Gonzalez and seconded by Maurice Miller. Approved unanimously

First order of business was to discuss the proposed lease between Tabernacle Baptist Church, a California non-profit corporation and Tabernacle Christian Schools, Inc., a California non-profit corporation.
The terms of the lease were found suitable by all present. After discussion of the payment alternatives in Section 4 it was decided that the alternative method would ensure the preservation of non-profit status of Tabernacle Baptist Church. Walt Middleton informed the board that the necessary accounting changes would not be retroactive to January 1 and would be phased in from the date of signing forward.
A motion was made by Bob Maiellaro to accept and sign the lease as presented and also implementing the provisions of the alternative payment plan and accounting phase in as discussed above. Maurice Miller seconded the motion.
The motion was approved unanimously. The lease was signed by all the deacons present on behalf of the church.

Second order of business was a discussion of searching the rolls to find suitable men to serve as deacons. There will be a need to elect a new deacon board or re-elect current deacons in the future. One member, Bob Maiellaro, will be moving away in the future.

7:26 PM A motion to go out of conference was made by Larry Boice and seconded by Walt Middleton. Approved unanimously.

Respectfully submitted,

Robert A. Maiellaro